

About the Tax Planning Tools

The Tax Planning Tools are a collection of web-based tools for calculating income tax information. The current set of tools is:

- Age Calculator
- Alternative Minimum Tax (AMT) Calculator
- California Sales Tax Calculator
- California Sales Tax Deduction Calculator
- Estimated Tax Calculator (Federal)
- Estimated Tax Calculator (California)
- Required Minimum Distribution (RMD) Calculator
- Senior Deduction Calculator
- Simple Math Calculator
- Small Business Tax Calculator
- Social Security - Taxable Benefit Calculator
- Social Security - Lump Sum Calculator
- State Income Tax Refund Calculator

You can access the latest version of these tools on the web using the following URL.

bruceblinn.com/6-OtherStuff/Taxes/index.html#TaxPlanningTools

These tools are intended to help you estimate various tax values. Since each tool estimates a specific value or a small set of values, the inputs can be kept fairly simple. This makes the tools easier to use and it also helps you understand what information is needed to make the calculation.

You can enter as much or as little information as you want. Of course, the more information you enter and the more accurate the information is, the more accurate the calculation will be. A typical way to use these tools is to enter the information as accurately as possible (for example, from last year's tax return) and then vary one or more fields to see how it affects the calculation.

These tools only provide estimates. The tax laws are very complicated and these tools provide a vastly simplified view of the tax laws. They only try to provide an accurate estimate for common tax situations. Also, in general, the only checking that is done is to constrain the input values to valid ranges. If you enter a value that is not allowed in your situation, the calculation will show the result as if the value were allowed.

Interface

Each tool contains a brief description of its purpose and how to use it. The more complicated tools have a link to a separate page with more detailed information about the tool.

There is a lot of shared code between the tools, which gives them a similar appearance and behavior. For example, input fields are always green and the values calculated by the tools are always blue.

The tools are intended to be used in a browser (e.g., not on a phone). They are formatted so they will fit on a printed page.

Tooltips

Several of the tools provide tooltips. These are small popup displays that show up when you move the mouse over one of the fields. They provide a short explanation of the purpose of the field. When available, tooltips are provided for input fields to help you enter the correct information and for output fields to explain what the information means.

Numeric Input

For any input field where a numeric value is expected, dollar signs (\$) and commas (,) are ignored. This allows you to enter a number as, for example, "\$40,000", "\$40000", or "40000". In addition, numeric fields can contain simple arithmetic expressions. For example, you can enter "(\$40,000 + 4,000) * 0.075" to enter 7.5% of 44000. All numeric input will be rounded to the nearest whole number. The expression evaluator supports the following operators:

- Numbers with decimal points
- Operators for addition (+), subtraction (-), multiplication (*), and division (/)
- Unary minus operator (-)
- Parentheses
- Operator precedence for parentheses, unary minus, and for doing multiplication and division before addition and subtraction.

Debugging Information

Some of the tools can display additional information that shows internal calculations. To see the additional information you can enter one of several keywords in any input field. The keywords are not case-sensitive and can be entered in any order. Separate the input value and one or more keywords using commas or whitespace.

The keywords are the name of a form, worksheet, or one of the following special keywords.

- Debug Display debug information for all forms.
- Strict Enable additional error checking.
- Verbose Print more debugging information (e.g., lines with value=0).
- Taxpayer Print information about the taxpayer.
- Trace Logs the entry and exit of procedures to the console log.

By default, only the lines in a tax form or worksheet with non-zero values are printed. The verbose keyword can be used to print all the lines.

The names of the following forms and worksheet can be entered as keywords, but only forms and worksheets created by the tool will be shown.

Forms:

- F1040 Individual Tax Return
- F1040S1 Schedule 1, Additional Income and Adjustments to Income
- F1040S1A Schedule 1A, Additional Deductions
- F1040S2 Schedule 2, Additional Taxes
- F1040S3 Schedule 3, Additional Credits and Payments
- F1040SA Schedule A, Itemized Deductions
- F1040SC Schedule C, Profit and Loss from Business
- F1040SSE Schedule SE, Self-employment Tax
- F540 California Resident Income Tax return
- F540CA California Adjustments - Residents
- F6251 Alternative Minimum Tax – Individual
- F7206 Self-employment Health Insurance Deduction
- W2 Wage and Tax Statement

Worksheets:

- IncTax Qualified Dividends and Capital Gain Tax Worksheet
- SalesTax State and Local General Sales Tax Deduction Worksheet
- SEHI Self-employment Health Insurance Worksheet
- Simple Simplified Method Worksheet
- SSTax Social Security Benefits Worksheet
- StateRefund State and Local Income Tax Refund Worksheet
- CA_HilncDeductions California Itemized Deductions Worksheet for High Incomes
- CA_HilncExemptions California Exemptions Worksheet for High Incomes

Version Numbers

There is a single version number for all of the tax planning tools because there is so much shared code between the tools. The version number is a 3-part number, but only the first two parts are usually present in released versions of the tools.

The first part of the version number corresponds to the current tax year. Sometime between April 15 and early Fall, the first part of the version number is changed to the current year, and it will not be changed again until after the end of the tax season. When the first part of the version number is incremented, the other parts are reset.

The second part of the version number is incremented each time a new version of the tools are released. There are always two versions of the tools: the released version and a development version. The second part of the version number starts at 00 for the released version and 01 for the development version. Whenever the development version is merged into the released version, the second part of the version number is incremented by two in both versions. Thus, the second part of the version number in a released version is always an even number, and in the development version, it is an odd number that is one greater than the released version.

The third part of the version number starts at 000 and is incremented for each change. This part of the version number is rarely used in the released version of the tools.

In summary:

- The first part of the version number is incremented each tax year.
- The second part of the version number is incremented whenever the development version is merged into the released version.
- And, the third part is incremented whenever the source code is changed.

The version number of the development version is always appended with an at sign (@) to call attention to the fact that that version is under development and not ready to be used.

Whenever the version number is shown in one of the tools, it is a link that you can click on to show the version history information.

Issues, Limitations, and Known Problems

California Sales Tax Calculator and California Sales Tax Deduction Calculator

- These calculators can only calculate the sales tax for addresses in California.

Estimated Tax Calculator (Federal)

- Does not support blind taxpayer or spouse.
- Does not support small business (schedule C).
- Does not support dependents.
- Allows you to enter the amount of credits, but does not calculate CTC or EIC or any other credit.

Small Business Tax Calculator

- The QBI calculation does not agree with TaxSlayer???
- Long Term Care insurance is not separated out from medical insurance. If medical insurance includes premiums for long term care insurance, the amount entered needs to be limited by age.
- This tool does not handle church employees or farm income.
- The calculation will not be correct if the amount of business income plus wages is greater than the maximum amount subject to Social Security taxes.
- The QBI deduction phases out at \$201,775, which is not accounted for in the tool.

Social Security - Taxable Benefits Calculator

- See the description for the Adjustments field in the help file. There are a few adjustments that may not be handled correctly by this tool.
- If you are a non-resident alien, do not use this calculator; the taxable percentage of your Social Security is 85%.

Social Security Lump Sum Calculator

- See the description for the Adjustments field. There are several adjustments that may not be handled correctly by this tool.
- If you are a non-resident alien, do not use this tool; the taxable percentage of your Social Security is 85%.
- If you are filing Married Filing Separately and you lived with your spouse at anytime during the tax year, do not use this tool; the taxable percentage of your Social Security is 85%.

State Tax Refund Calculator

- Does not take into account that MFS may be required to itemize deductions.

Changes I'm Thinking About

- More tools
 - CTC, EIC, and CalEITC Calculators
 - Foreign Tax Credit Calculator
 - Calculate penalty for underpayment of tax
 - Currency Exchange Rate Calculator
- Add more checks to fields that have known limits so the input values do not exceed those limits.
- If an input field is modified internally, should the input field be updated so the user can see the corrected value?
- Should the tools be implemented as Excel spreadsheets? It would allow the user to see the actual computations that are being made. Users could review the formulas for accuracy and provide feedback. They could also make changes to their copy of the spreadsheet to prototype new ideas. However, since each spreadsheet contains all the code that it uses, once it is copied, it would be difficult to know how it differs from another version. It would be impossible to update all the copies when a change needs to be made. Version control could be a nightmare.

Feedback

If you have any feedback on the tools, send it to bruce_blinn@yahoo.com. I would welcome any information about problems with the tools or suggestion on how to improve them.